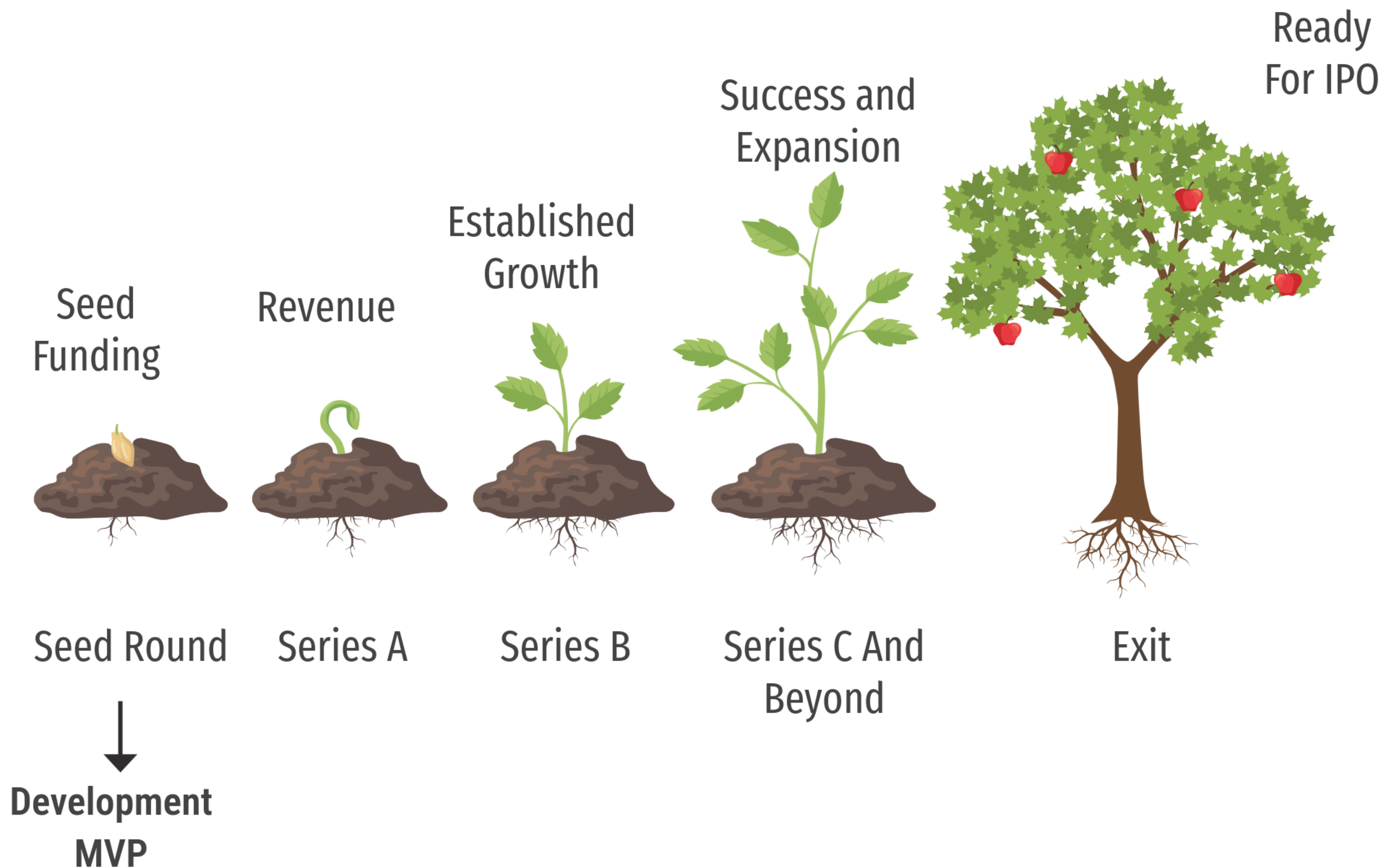


2. Understanding Funding Rounds

Fundraising in the startup world involves different stages or rounds, where the company receives capital at each stage. While the primary goal of every round is to secure funding, the specific purpose and focus vary significantly depending on the company's stage of development.



Valuation is the process of determining a startup's worth, playing a crucial role in securing funding, negotiating equity, and planning for future growth. Investors assess valuation based on multiple factors, including market potential, revenue traction, growth rate, competitive landscape, and financial projections.

There are several common valuation methods used at different funding stages:

Pre-Revenue Startups

Methods like the Berkus Method or Venture Capital Method estimate potential value based on qualitative factors such as the team, market, and product feasibility.

Early-Stage Startups

The Discounted Cash Flow (DCF) method and Comparable Company Analysis are often used to estimate future earnings and benchmark valuation against similar companies.

